

you'd purchase the same amount of Security XYZ that you currently own?" Often, clients will realize that they might hypothetically behave differently if handling a liquid sum. It is also useful to question the client about his or her intent in owning the security: "What do you hope to accomplish by holding this security, and how is this security helping you to achieve your financial goals?" Often, as in the case of inherited securities, the client will see the light. Stressing a long-term view in financial goals can often persuade clients to be more receptive to facts.

Commission aversion. Commission aversion is a very common phenomenon and can be very detrimental to a portfolio. The "penny wise, pound foolish" proverb is often one of the most salient arguments that you can present to a client in this case, and the best way to do this is to lay out, numerically, potential gains that can be achieved or losses that can be averted by selling versus retaining the security. Then, contrast these sums with the relatively trivial expected sum of any commission fees. More often than not, if you present this logic persuasively, a client will understand the lesson and agree to reallocate.

Desire for familiarity. Familiarity can be a difficult craving to overcome. Comfort is crucial to an investor, and it may not be wise to take a portfolio in any direction with which the client seems significantly uncomfortable. This ends up being especially important in cases where your recommendation ultimately goes sour. The best way to address a client's desire for familiarity, when that desire contradicts your financial advice, is to review the historical performance of the unfamiliar securities that you are suggesting the client acquire. Demonstrate the logic underlying your recommendation. Rather than entirely replacing familiar holdings with new, scary ones, perhaps recommend that the client try out a small purchase of the unfamiliar investment you're recommending. This way, your client can develop familiarity with the new investment instrument and achieve a corresponding comfort level.

NOTES

1. Daniel Kahneman, J. L. Knetsch, and Richard H. Thaler, "The Endowment Effect, Loss Aversion, and Status Quo Bias: Anomalies," *Journal of Economic Perspectives* 5(1) (1991): 193–206.